Bank of Leeds Strategic Investment Proposal

Yorkshire Confectionery Renaissance Fund 2050

Building Yorkshire into Britain's Premium Sweet & Chocolate Manufacturing Region

Prepared for:
Bank of Leeds – Consumer Industries & Manufacturing Investment Division

Investment Classification:
Food Manufacturing / Brand Development / Export Growth / Regional Industrial Strategy

Proposed Investment Vehicle:

Yorkshire Confectionery Growth Fund

Initial Capital Commitment:

£500 million

Investment Horizon:
10 years

Executive Summary

The Bank of Leeds proposes establishing a dedicated investment programme to expand Yorkshire's confectionery industry into a globally recognised premium food manufacturing cluster.

Yorkshire has one of Britain's strongest confectionery heritages, with historic links to:

- chocolate manufacturing,
- biscuits,
- sweets,
- traditional confectionery,
- premium food production.

Yorkshire's confectionery identity includes historic names associated with York and West Yorkshire, while the region continues to host major manufacturing operations.

Today, Yorkshire has an opportunity to move from:

> "A region where confectionery is made"

to:

> "A region that owns global confectionery brands."

The Bank of Leeds could provide:

- growth capital,
- factory finance,
- export financing,
- brand acquisition capital,
- marketing support,
- retail expansion funding.

The objective:

Create a £2 billion Yorkshire confectionery economy by 2050.

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1. Market Opportunity

UK Confectionery Market

The UK chocolate and sugar confectionery market is substantial, with Euromonitor estimating UK demand at approximately **US$19.7 billion in 2024** across chocolate and sugar confectionery. The sector remains highly competitive but fragmented, creating opportunities for regional challenger brands.

The premiumisation trend is particularly attractive:

Consumers increasingly pay for:

- craft chocolate,
- heritage brands,
- regional identity,
- luxury gifting.

Premium chocolate companies have remained relatively resilient compared with mass-market producers as consumers trade up toward quality products.

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2. Yorkshire's Existing Advantages

A. Heritage Brand Recognition

Yorkshire has an unusually strong confectionery story.

Historic foundations include:

- Rowntree's heritage,
- Terry's chocolate heritage,
- Yorkshire sweet traditions.

The region has cultural recognition internationally as a place associated with British confectionery.

B. Existing Manufacturing Base

Yorkshire already contains major confectionery businesses.

Examples include:

HARIBO UK

HARIBO has invested tens of millions of pounds into its West Yorkshire manufacturing operations, including new production and packaging capacity at Castleford.

Independent Producers

Yorkshire has a network of smaller producers making:

- handmade sweets,
- chocolates,
- premium ingredients,
- speciality confectionery.

Companies such as Pecan Deluxe's Yorkshire operations produce confectionery ingredients and inclusions for food businesses globally.

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3. Bank of Leeds Strategy

The Bank of Leeds should create:

Yorkshire Confectionery Corporation

A regional investment company focused on:

1. Scaling existing Yorkshire brands.
2. Creating new premium brands.
3. Building export capability.
4. Expanding manufacturing capacity.

Investment Programme

£500 Million Initial Fund

Allocation

Area	Investment
Factory expansion	£150m
Brand acquisitions	£100m
Export marketing	£75m
Product innovation	£75m
Retail stores & tourism	£50m
Digital commerce	£50m

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4. Proposed Investment Areas

Project 1

Yorkshire Premium Chocolate Company

Investment:

£100 million

Create a Yorkshire equivalent of:

- Lindt,
- Hotel Chocolat,
- Läderach.

Product Range

Yorkshire Heritage Collection

Products:

- Yorkshire Mint Humbugs

- Rhubarb & Custard Chocolates
- Yorkshire Tea Chocolate
- Wensleydale Caramel
- York Stone Chocolate Collection

Target market:

Premium gifting.

Financial Model

Year 5:

Revenue:

£100m

Gross margin:

55%

EBITDA:

£20m

Project 2

Yorkshire Sweet Manufacturing Expansion

Investment:

£150 million

Build:

Yorkshire Sweet Industrial Park

Potential locations:

- Castleford
- Wakefield
- Leeds
- Doncaster

Facilities:

- automated production lines,
- packaging,
- export warehouse.

Products:

- gummies,
- boiled sweets,
- vegan sweets,
- seasonal products.

Financial Model

Production:

20,000 tonnes/year

Average wholesale value:

£5/kg

Revenue:

£100m/year

EBITDA:

£25m

Project 3

Yorkshire Chocolate Tourism Economy

Investment:

£50 million

Create:

Yorkshire Chocolate Trail

Similar concept to:

- wine tourism,
- whisky tourism.

Locations:

- York
- Leeds
- Sheffield
- Harrogate

Includes:

- factory tours,
- museums,
- chocolate cafes,
- retail shops.

Economic benefit:

Tourism spending:

£100m/year potential.

Project 4

Yorkshire Confectionery Export Programme

Investment:

£75 million

Target markets:

United States

Opportunity:

British heritage foods.

Middle East

Opportunity:

Luxury gifting.

Asia

Opportunity:

Premium European confectionery.

Create:

Brand Yorkshire Export Office

Target:

£500m annual exports by 2040.

Project 5

Confectionery Innovation Centre

Investment:

£75 million

Located near:

- University of Leeds
- University of York
- Sheffield research networks.

Research:

- sugar reduction,
- plant-based sweets,
- sustainable cocoa,
- functional foods.

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5. Five-Year Financial Model

Yorkshire Confectionery Corporation

Year	Revenue	EBITDA
Year 1	£100m	£10m
Year 3	£350m	£60m
Year 5	£750m	£150m
Year 10	£1.5bn	£300m

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6. Investment Returns

Bank of Leeds Investment

Investment:

£500m

Potential valuation after 10 years:

Assume:

10x EBITDA multiple

EBITDA:

£300m

Enterprise value:

£3 billion

Potential Bank return:

3–5x invested capital

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7. Employment Impact

Manufacturing

New factories:

3,000 jobs

Supply Chain

Packaging:

1,000 jobs

Agriculture:

500 jobs

Logistics:

1,500 jobs

Tourism

2,000 jobs

Total:

8,000+ jobs

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8. Agricultural Integration

A Yorkshire confectionery industry could support local agriculture:

Ingredients

- Yorkshire sugar alternatives,
- dairy,
- honey,
- fruit,
- oats,
- grains.

Create:

Yorkshire Farm-to-Confectionery Supply Chain

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9. Wider Economic Benefits

GDP Impact

Potential:

£1 billion+ annual economic contribution.

Through:

- manufacturing,
- exports,
- tourism,
- agriculture,
- retail.

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10. Strategic Acquisitions

The Bank of Leeds could create a Yorkshire confectionery group through acquisition.

Targets:

- traditional sweet manufacturers,
- chocolate makers,
- biscuit companies,
- speciality food producers.

Strategy:

Acquire fragmented businesses.

Modernise:

- production,
- packaging,
- distribution.

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11. Proposed Financing Structure

Yorkshire Confectionery Growth Fund

£500m Fund

Sources:

Investor	Amount
Bank of Leeds	£200m
Pension funds	£150m
Private investors	£100m
Government manufacturing funds	£50m

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12. Risks

Cocoa Price Volatility

Mitigation:

- long-term supply contracts,
- alternative recipes,
- premium pricing.

Competition

Mitigation:

Focus on:

- heritage,
- quality,
- regional identity.

Retail Pressure

Mitigation:

Expand:

- direct-to-consumer,
- tourism,
- exports.

Recommended Bank of Leeds Action

Create:

Yorkshire Confectionery Renaissance Fund

Initial investment:

£500 million

Focus:

1. Expand factories.
2. Build global Yorkshire brands.
3. Develop confectionery tourism.
4. Increase exports.
5. Create premium food manufacturing jobs.

Final Investment Thesis

Yorkshire once helped create Britain's global confectionery reputation.

The opportunity is to rebuild that position.

The Bank of Leeds can help transform Yorkshire from:

> "The birthplace of famous sweets"

into:

> **"Britain's premium confectionery capital — exporting Yorkshire chocolate, sweets and food culture worldwide."**

A £500 million investment programme could create a globally recognised Yorkshire confectionery sector worth billions by 2050.